study has since observed that, from 1900 to 2002, U.S. stocks earned a 5.3 percent annual premium over T-bills.[4] So, why don't investors reject low-paying bonds and purchase equities instead? Mehra and Prescott quantified the conundrum using coefficients of relative risk aversion.

Professors Shlomo Benartzi and Richard Thaler[5] suggested a solution to the equity risk premium puzzle based on what they call "myopic loss aversion." Their explanation is grounded in two behavioral concepts: loss aversion and myopia. Loss-averse investors are more sensitive to losses than gains, with losses estimated to be two times more influential than gains of the same size. Myopia denotes shortsightedness. When loss aversion is combined with myopia, investors who evaluate their portfolios most frequently are also the most likely to experience losses and, hence, to suffer from loss aversion. It follows that myopic, loss-averse investors would invest in bonds.

Benartzi and Thaler argued that most investors evaluate their portfolios in a relatively shortsighted way and that, as loss aversion implies, they are highly sensitive to losses that have occurred over the examined time period. Using a number of simulation approaches, the evaluation time period implied in their model (consistent with the realized equity risk premium) is about one year. Benartzi and Thaler demonstrated that nonmyopic investors (investors with long time horizons who don't give in to the temptation to evaluate their portfolios frequently) are more willing to invest in risky assets than are short-term investors (people who evaluate their portfolios more often). In this case, then, an asset's value depends on an investor's time horizon.

Practitioners need to be sensitive to the fact that many clients will evaluate their portfolios myopically and, as a result, may become loss averse. Stress the long-term benefits of asset allocation, and counsel clients not to pay too much attention to short-term market fluctuations.

DIAGNOSTIC TESTING

These questions are designed to detect signs of emotional bias stemming from loss aversion. To complete the test, select the answer choice that best characterizes your response to each item.

Loss Aversion Bias Test

Question 1: Suppose you make a plan to invest $50,000. You are presented with two alternatives. Which scenario would you rather have?

- **a.** Be assured that I'll get back my $50,000, at the very least—even if I don't make any more money.
- **b.** Have a 50 percent chance of getting $70,000 and a 50 percent chance of getting $35,000.